Project 1 Week 5 Report

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BMGT 381: Business Law II

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Memorandum

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TO: Gale Roth, Pat Branden

FROM: Victoria Lee

RE: Painted Images (PI) and Pintura Pura

Introduction

As Painted Images (PI) continues to expand its business, a potential partnership with Pintura Pura SA de CV (Pintura), a Mexican company, presents growth opportunities. However, transitioning with a partnership through international business also introduces new legal considerations. This memorandum analyzes the laws, regulations, potential legal risks, and liabilities so PI can make informed decisions when collaborating with Pintura. PI must comprehend the Due Diligence of Pintura which is a comprehensive assessment of Pintura's financial health, product quality, and regulatory compliance. PI must understand this as international sales contracts are the legal framework governing the sale and purchase of goods between PI (US) and Pintura (Mexico) which is the Contracts for the International Sale of Goods (CISG). If PI enables the production of custom paint cleaner by Pintura in Mexico, this memo will analyze the impact of US regulations, specifically the Clean Air Act. Therefore, by conducting a thorough legal analysis of these topics in this memo, PI can identify potential risks, and develop strategies to mitigate them, ensuring a smooth and compliant business relationship between PI and Pintura.

I. Pintura Pura

A. List the areas/types of information that PI should collect – be specific and comprehensive.

Before purchasing Pintura's exterior paint products and entering a distributorship agreement with Pintura, Painted Images (PI) should perform its "due diligence" and collect pertinent information about Pintura and its products to prevent or minimize potential liabilities for PI. According to *Advanced Business Law and the Legal Environment* (2012, 2014), Andrino (2023), OSH Act of 1970 (n.d), and Cornell Law (n.d), this includes information about Pintura's background, product information, manufacturing facilities (product evaluation and safety measures), intellectual property, and legal and regulatory compliance. Specifically, PI should have a thorough background of business history, ownership structure, financial stability, and reputation. This is significant as a partnership with an international business is risky if the background information does not pass legal and compliance regulations that would demonstrate trust in the company Pintura. If Pintura complies and passes with PI's investigation of the corporation information with good financial statements, and tax returns, showing an organized business PI may make informed decisions for a partnership with Pintura. When delivering the goods based on the negotiable instruments and agreement, PI must check the product information, ingredients (product specification), safety data sheets, environmental impact reports, product certifications, compliance with international standards, regulatory approvals, licenses, and intellectual property rights. PI must comprehend this as the products must comply with the regulations to ensure the safe delivery of the goods. Meanwhile, the OSHA Act will enable PI to ensure proper personal protective equipment (PPE) and safety measures when

transferring goods from different locations. Additionally, PI must check the manufacturing facilities of the goods that Pintura offers to PI after checking the product information. This will ensure accuracy on the location, capacity, quality control procedures and certifications, environmental compliance records, labor practices, and compliance with labor laws. Checking the manufacturing facilities will allow PI to gather information on the suppliers, logistics, and how the business handles the product. Moreover, Painted Images (PI) must check the intellectual property of Pintura's products to prove legal patents, trademarks, and warning signs to lower the risk of liabilities due to injuries with the product. Without checking the legal patent, if a customer or an employee is injured on the job from Pintura's products, PI may be at risk of potential liability. To prevent this, PI must ensure Pintura's products are legally sold in the country and include warning labels to prevent possible liabilities against PI. Furthermore, if PI investigates Pintura's legal and regulatory compliances, it will ensure a long-term partnership demonstrating compliance with Mexican and U.S. import laws. Specifically, PI must ensure that Pintura follows U.S. import regulations, and Mexican laws including export controls, customs regulations, environmental laws, and labeling requirements. This will also allow PI to know if the company received past legal issues or liabilities that would damage the long-term partnership with PI (*Advanced Business Law and the Legal Environment*, 2012, 2014; Andrino, 2023; OSH Act of 1970, n.d.; Cornell Law, n.d.). Therefore, PI must thoroughly conduct due diligence on Pintura on Pintura's background, product information, manufacturing facilities (product evaluation and safety measures), intellectual property, and legal and regulatory compliance to ensure a long-term partnership relationship with Pintura.

B. Explain, in paragraph format, why/how each category of information is important in preventing or minimizing potential liabilities for PI.

As previously mentioned, Painted Images (PI) must thoroughly conduct due diligence on Pintura Pura (Pintura) on Pintura's background, product information, manufacturing facilities (product evaluation and safety measures), intellectual property, and legal and regulatory compliance to ensure a long-term partnership relationship with Pintura. Collecting comprehensive information on these areas is crucial to prevent or minimize potential liabilities for PI. If PI comprehends Pintura's background and financial stability, PI can ensure that Pintura is a reliable long-term international business partner. It will also ensure that financial transactions with Pintura will have no issues for the products and avoid fees that PI should not need to pay. Additionally, if PI has detailed reports of Pintura's product information and regulatory compliances, PI can ensure that the products meet safety and environmental standards, reducing the risk of legal issues. The negligence theory states that the plaintiff must prove fault through all four elements the defendant had a duty of care, the care was breached, the breach resulted in and connected to the plaintiff's injury, and the plaintiff suffered actual damage or loss (Andrino, 2023; *Advanced Business Law and the Legal Environment*, 2012). As for strict liability, it states that the plaintiff does not need to prove fault, but the injuries occurred because of using the defective product including meeting the required standards (Andrino, 2023; *Advanced Business Law and the Legal Environment*, 2012). If PI gathers information about the product, PI can ensure that Pintura creates warnings and instruction labels on the product about handling these

products to prevent misuse of harm and implement quality control to prevent a defective product from reaching consumers (Andrino, 2023; *Advanced Business Law and the Legal Environment*, 2012). This is significant as product liability arises when a product fails to result in a defective product or injury done to a person (Andrino, 2023; *Advanced Business Law and the Legal Environment*, 2012). If the business has product liability, this could financially damage the partnership so investigating a report on this can determine how Pintura handles the products and avoid product liability risks. Additionally, PI must comprehend the manufacturing facilities as it will help PI make informed business decisions when the market changes and how the business handles the products (quality control procedures, etc.). It is crucial that Pintura properly teaches its employees how to handle the product and ensure that the quality control procedures demonstrate that the product is not defective. Through worker's compensation, if the employee is injured due to exposure to the paint or products while working for Pintura, they are typically eligible for worker's compensation benefits including medical expenses, lost wages, and disability payments (MD W.C.C., n.d.). A history of violations can lead to higher worker's compensation costs which could damage the relationship between PI and Pintura. In some cases, an injured worker might also be able to file a separate lawsuit against the business for negligence if the company failed to follow proper safety procedures or was aware of the hazard and failed to take adequate measures to protect employees (*Advanced Business Law and the Legal Environment*, 2012). If Pintura or PI fails to provide adequate emergency wash stations or designated areas to remove the PPE or does not post the signs, this could be an other-than-serious violation and posting requirement violation of the OSHA Act

(OSH Act of 1970, n.d.). When PI retrieves the reports on Pintura's manufacturing facilities and processes, PI can prevent OSHA citations, product liabilities, and other possible risks. This is crucial as it will demonstrate if Pintura has good regulatory testing for the products, and training certification in removing hazardous materials. Accurate representation of the products' environmental benefits is critical. If Pintura's products are inaccurately marketed as low-VOC without proper testing, PI could be subject to false advertising claims or regulatory penalties. Moreover, having a report about the intellectual property information ensures that PI is not infringing on any patents or trademarks, and legal history for potential liabilities. This is crucial so that PI can avoid liabilities related to forgery or theft of the products that PI wants to reproduce in the U.S. Furthermore, it is crucial to comprehend the legal and regulatory laws of Mexico, U.S. Imports, and other laws to help make this partnership efficient for PI. For instance, the Uniform Commercial Code (UCC), which governs sales of goods, includes a provision known as the Statute of Frauds. This statute requires certain contracts in writing to be enforceable through signed parties bound by the contract to prevent fraud and other damage done to the business (Cornell Law, n.d.). PI must comprehend this legal law and the Mexican and U.S. imports to ensure that Pintura and PI comply with it ensuring efficiency for the business. If PI comprehends the UCC law, it will ensure that Pintura will pay their fee as agreed of their agreement and their duties to each other when transferring the products. When PI checks this, it ensures that Pintura complies with both Mexican export and US import laws and helps PI avoid potential customs delays, tariffs, or fines. If PI finds that Pintura fails to comply with international trade laws, this negatively impacts operational tasks and

expose PI to financial penalties. As mentioned, collecting Pintura's background, product information, manufacturing facilities, intellectual property, and legal and regulatory compliance is crucial for mitigating potential liabilities. For instance, reviewing financial statements can identify potential financial instability, while examining product specifications and test results can assess product quality and safety. Analyzing regulatory compliance history can help identify potential risks related to environmental and consumer protection laws and PI can assess quality control issues. By understanding Pintura's manufacturing processes, PI can ensure that the manufacturing line of paint supplies has minimal manufacturing costs with a good partnership with Pintura (Andrino, 2023; *Advanced Business Law and the Legal Environment*, 2012; MD W.C.C., n.d; OSH Act of 1970, n.d; Cornell Law, n.d.). Therefore, this due diligence on Pintura allows PI to make informed decisions for manufacturing a similar product while minimizing the risks, liabilities, and manufacturing costs to ensure an efficient business.

II. International Sales Contracts

A. Analyze law related to international sales contracts and whether and how the Contracts for International Sale of Goods (CISG) applies to an agreement for PI to purchase and resell Pintura paint products in the US.

The United Nations Convention on Contracts for the International Sale of Goods (CISG) governs contracts for the international sale of goods between parties whose places of business are in different states (Flechtner, 2005). In this case, it is relevant for the agreement between Painted Images (PI) (U.S.) and Pintura Pura (Pintura) (Mexico) as PI

wants to make a partnership with Pintura to begin manufacturing its line of paint supplies while minimizing manufacturing costs. According to Flechtner (2005) and *Advanced Business Law and the Legal Environment* (2014), the CISG regulates international trade, ensuring that contracts between seller-buyer relationships are fair and predictable. The CISG applies when the seller and buyer have their places of business in different CISG contracting states (Mexico is a contracting state, but the U.S. is not). While the U.S. is not a contracting state, U.S. courts may consider the CISG a persuasive authority if both parties agree to its application, but the court's decision on the type of authority given will depend on the specific circumstances of the case and the parties' agreement. Significantly, the contract must include specific provisions addressing potential disputes and ensuring compliance with US law. The CISG generally applies to international sales of goods. However, it explicitly excludes contracts for the supply of goods bought for personal, family, or household use. This exclusion is relevant as it suggests that the CISG might not apply to sales of paint products directly to consumers by PI. This makes Pintura's transactions that may involve the resale of Pintura's paint products or private label manufacturing of paint cleaners. For the resale of Pintura's paint products, if PI sells these products to consumers in the U.S., the CISG might not directly apply as these sales are final and for personal or household use. However, the contract between PI and Pintura for purchasing the paint products would still be governed by the CISG as it is a commercial transaction between two businesses. Similarly, for private label manufacturing of paint cleaners, although the final consumer sale may not directly fall under the CISG, the underlying commercial contract would. If PI makes transactions with Pintura, this would be most likely governed by the CISG, including the initial sale of

paint products from Mexico (a CISG contracting state) to PI in the US (a non-CISG contracting state) unless the contract explicitly excludes its application. While the CISG may be considered in US courts, it would not automatically apply. The US would analyze the contract under its conflict of law rules. If both the U.S. and Mexico ratify the CISG, it will automatically apply unless the parties expressly opt out. PI should ensure that the contract with Pintura includes clear terms regarding delivery, payment, dispute resolution, quality standards, warranties, intellectual property rights, and clauses to comply with CISG regulations and mitigate potential risks. If the CISG applies, it regulates the performance and remedies for breach of international sales contracts. This would greatly benefit PI and Pintura by providing a predictable legal basis for international transactions by being neutral to both U.S. and Mexican legal systems. However, the CISG may not address all aspects of an international sales contract. Parties might need to supplement the CISG with additional terms to prevent other risks and liabilities. Under the CISG, claims for consequential or punitive damages may not be available, unless specifically mentioned in the additional terms which could prevent PI from financial recovery of the paint products. Understanding the CISG's legal regulations enables PI to assess the legal risks and liabilities associated with its business dealings with Pintura, ensuring informed decisions and the protection of its interests. The CISG would still apply to the commercial agreement between PI and Pintura, guiding issues like contract formation, performance obligations, remedies for breach, and dispute resolution (Flechtner, 2005; *Advanced Business Law and the Legal Environment*, 2014). Therefore, the CISG would still apply to the agreement and PI can begin manufacturing its line of paint supplies while minimizing manufacturing costs and risks.

III. US Regulations and Manufacturers of PI Paint Cleaner

A. Analyze whether PI would be subject to the Clean Air Act regulations if PI enters into an agreement for Pintura to manufacture a paint cleaner for PI to sell in the US, and if so, what risks and liabilities would PI face related to the Act and manufacture of the paint cleaner.

As previously mentioned, Painted Images (PI) has learned about the due diligence of Pintura Pura (Pintura) and comprehension of the CISG. However, PI must also comprehend the concerns of the Clean Air Act to determine if PI is subject to its regulations after entering an agreement with Pintura. When Painted Images (PI) agrees with Pintura Pura (Pintura) to manufacture a paint cleaner for sale in the U.S., this makes PI a responsible party subject to the Clean Air Act (CAA) or other U.S. environmental regulations. According to the U.S. Environmental Protection Agency (n.d.), *Advanced Business Law and the Legal Environment* (2014), and EPA Violation Defense Lawyer (n.d.), the EPA considers anyone who imports a non-compliant product a responsible party. The Clean Air Act (CAA) regulates air pollution in the United States stating specific provisions about the chemicals that can cause air quality issues, such as volatile organic compounds (VOCs) from paint and coatings. In other words, the CAA regulates air emissions by measuring the air quality of chemical compounds nearby and within the business (manufacturing facilities, factories, warehouses, etc.). Since PI plans to sell a paint cleaner in the US, PI would be subject to CAA regulations if it enters into an agreement for Pintura to manufacture a paint cleaner for PI to sell in the U.S. If this was the case, PI would need to ensure that Pintura complies with National Ambient Air Quality Standards (NAAQS) and

Maximum Achievable Control Technology (MACT) standards. If Pintura fails to comply with these regulations, PI may greatly suffer large fines and legal liabilities under the Clean Air Act. For instance, if the paint cleaner contains VOCs that exceed allowable limits set by the EPA, PI could be liable for violations under the CAA because it requires that manufacturers comply with VOC emission standards, depending on the type of product and its intended use. This could lead to restrictions on the formulation of the cleaner or require PI to take corrective action. If Pintura is responsible for manufacturing the cleaner, PI needs to ensure that Pintura is compliant with both U.S. and Mexican regulations regarding VOC emissions. Any failure to comply with CAA regulations could result in fines, product recalls, or lawsuits, as well as reputational damage. The civil penalty fees are between $37,500 to $100,000 per day while the criminal violation would be up to 5 years of imprisonment. If PI agrees with Pintura to manufacture the cleaner and later faces issues with VOC emissions, PI may be held liable for non-compliance, even though the manufacturing is done overseas. PI must ensure that Pintura adheres to US environmental standards. Furthermore, if the paint cleaner has harmful VOC levels or other issues, PI could face product liability lawsuits from consumers. To mitigate these risks, PI should ensure that Pintura complies with all applicable US environmental regulations and that the paint cleaner's formulation and manufacturing process are designed to minimize emissions. This includes that PI should determine the specific VOC regulations and import requirements that would apply to the paint cleaner before entering a contract with Pintura. In addition, other ways to lower the risks include that PI must also conduct due diligence on Pintura's manufacturing facility to assess its environmental

compliance history. Moreover, PI should require Pintura to obtain certifications from relevant authorities to demonstrate compliance, conduct regular inspections of Pintura's facilities to verify it, and ensure a quality control system so that the paint cleaner meets all relevant standards. Furthermore, the PI must also draft a detailed contract that defines the responsibilities, intellectual property rights, product liability, and dispute resolution mechanisms. This would enhance clarity with the agreements and insurance can help protect PI from the financial risks associated with potential product liability claims (U.S. Environmental Protection Agency, n.d.; *Advanced Business Law and the Legal Environment*, 2014; EPA Violation Defense Lawyer, n.d.). By approaching all these steps and comprehending the laws and regulations of the CAA, PI will ensure a manufacturing process in the U.S. while minimizing the liabilities and costs. Therefore, if Painted Images (PI) enters an agreement with Pintura, PI is a responsible party in compliance with the CAA and its risks and liabilities.

Conclusion

In conclusion, as Painted Images (PI) (U.S.) expands its international business partnership with Pintura Pura (Pintura) (Mexico), PI must comprehend due diligence on Pintura, International Sales Contracts, and U.S. Environmental Regulations. Before entering into agreements with Pintura, PI should thoroughly investigate the product safety, financial health, intellectual property, and compliance status of Pintura's operations. This will help mitigate potential risks associated with product issues and legal liabilities. Additionally, PI must consider the applicability of the CISG to their international sales contract and evaluate the potential regulatory impact of the Clean Air Act on the manufacture of their custom paint cleaner. By thoroughly investigating Pintura's operations, comprehending international trade law, and

ensuring compliance with U.S. environmental standards, PI can mitigate risks and liabilities to ensure a well-structured partnership with Pintura while minimizing its costs.

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